d. Surcharge and Cess

The surcharge and cess are imposed and collected by the Centre and appropriated by the Centre. It is not shareable with the States.

Article 271 - Surcharge is levied as per Article 271 of the Constitution. It is a tax additionally levied as a percentage of existing tax amount on taxes referred in the Union list for the purpose of the Union. It is a tool to generate revenue exclusively for the Union. It is not shareable with the states. The tax on which it is additionally levied may be shareable but this additional tax levied as surcharge is not shareable. For example income tax is shareable between the Centre and the states but surcharge on Income Tax is not shareable.

For example, corporate income tax up to ₹1 Cr is 30 per cent on domestic companies and surcharge is 10 per cent if income exceeds ₹1 Cr.

Note: the tax rate given here is an example. It keeps changing.

Article 270 - Cess is a tax additionally levied as a percentage of existing tax amount or as a percentage of value of the goods and service or as a fixed amount of quantity of goods for specific purpose. It is leviable by a law made by the Parliament as empowered by Article 270 of the Constitution. One example is GST cess. GST cess is a compensation cess imposed additionally on GST. It was decided to impose it for a period of five years from GST implementation. The states realised that implementation of GST will result in lesser revenue compared to the revenue they were generating through various indirect taxes subsumed into GST. To compensate the losses GST cess is imposed. GST (Compensation to States) Act 2017 is enacted towards this end.

Let us take GST rate as 12 per cent. Then 3 per cent of education cess on 12 per cent is equal to 0.36 per cent. Therefore, total tax rate is 12.36 per cent.